

Statutory Recommendations Action Plan Response

Statutory Recommendation 2		Ensure planned savings and efficiencies for 2025/26 are achievable and put in place cost control measures to avoid overspends																																																																																																									
Ref	Action	Progress Update	Impact	Responsible Officer and Target Date	Status																																																																																																						
SR2 - 01	Assess the robustness of the delivery plans for the agreed 2025-26 savings, including the interdependencies, constraints and risks, to ensure they are deliverable. Actions include: - External assurance of agreed savings to be commissioned to assess their deliverability. - Development of action plan where risk of non-delivery identified.	Planned savings and efficiencies for 2025-26 have been subject to review as part of the budget setting process. An independent review of savings incorporated into the Medium-Term Financial Strategy has been undertaken, which included an assessment of the robustness of plans, deliverability and interdependencies and actions to ensure the savings are delivered or alternative mitigating actions identified. The outcome of the review is being used to inform the final budget setting and MTFS report to Cabinet and Full Council. The current position is set out below: Agreed Savings to be delivered in 2025/26 and future years <table> <tr> <th>Directorate (£000s)</th><th>2025/26</th><th>2026-27</th><th>2027-28</th><th>2028-29</th><th>Total</th></tr> <tr> <td>Children's, Families & Education & NRPF</td><td>3,562</td><td>2,777</td><td>720</td><td>0</td><td>7,059</td></tr> <tr> <td>Adult Social Care</td><td>2,106</td><td>1,660</td><td>770</td><td>20</td><td>4,556</td></tr> <tr> <td>Housing Services (GF)</td><td>5,813</td><td>4,799</td><td>4,256</td><td>1,500</td><td>16,367</td></tr> <tr> <td>Growth & Environment</td><td>16,922</td><td>9,289</td><td>4,727</td><td>2,756</td><td>33,694</td></tr> <tr> <td>Resources</td><td>2,523</td><td>1,405</td><td>2,025</td><td>1,525</td><td>7,478</td></tr> <tr> <td>Corporate Budgets</td><td>15,370</td><td>4,630</td><td>5,000</td><td>5,000</td><td>30,000</td></tr> <tr> <td>Total</td><td>46,296</td><td>24,560</td><td>17,498</td><td>10,801</td><td>99,154</td></tr> </table>	Directorate (£000s)	2025/26	2026-27	2027-28	2028-29	Total	Children's, Families & Education & NRPF	3,562	2,777	720	0	7,059	Adult Social Care	2,106	1,660	770	20	4,556	Housing Services (GF)	5,813	4,799	4,256	1,500	16,367	Growth & Environment	16,922	9,289	4,727	2,756	33,694	Resources	2,523	1,405	2,025	1,525	7,478	Corporate Budgets	15,370	4,630	5,000	5,000	30,000	Total	46,296	24,560	17,498	10,801	99,154	The savings delivery forecast was last reported to Cabinet through the Q2 Financial Performance Report. Savings Delivery Forecast Quarter 2 <table> <tr> <th>Directorate</th><th>Target £'000s</th><th>Gap £'000s</th><th colspan="3">No. of savings schemes</th></tr> <tr> <th></th><th></th><th></th><th>Red/Amber</th><th>Green</th><th>Blue</th></tr> <tr> <td>Adult Social Care</td><td>2,106</td><td>265</td><td>0</td><td>6</td><td>9</td></tr> <tr> <td>Children, Families and Education</td><td>3,562</td><td>741</td><td>5</td><td>8</td><td>5</td></tr> <tr> <td>Growth & Environment</td><td>16,922</td><td>581</td><td>12</td><td>35</td><td>11</td></tr> <tr> <td>Resources</td><td>2,523</td><td>790</td><td>5</td><td>6</td><td>8</td></tr> <tr> <td>Housing</td><td>5,813</td><td>-1,364</td><td>3</td><td>3</td><td>3</td></tr> <tr> <td>TOM</td><td>15,370</td><td>7,870</td><td>1</td><td>0</td><td>0</td></tr> <tr> <td>Overall</td><td>46,296</td><td>8,883</td><td>27</td><td>58</td><td>36</td></tr> </table> Blue – savings have been delivered. Green – savings are on track to be delivered. Red/Amber – savings delivery is at risk. There was an £8.83m gap between savings proposed and likely delivered as at Q2. £7.87m relates to the Target Operating Model saving. Where there are shortfalls, savings will be sought from elsewhere within directorates. Savings proposals where there is a risk to savings delivery were detailed in Appendix A of the Q2 Financial Performance Report. Since July 2025, £28.269m of new savings have been approved over the Medium Term Financial Strategy (MTFS) period with £14.249m for 2026/27. Alongside savings previously agreed, this comes to a total of £77.691m of savings proposals, making a significant impact to reduce the council's budget gap over that timeframe. Further proposals will be brought forward to Cabinet on 2 February 2026. Our MTFS report which is due to go to Cabinet on 2 February 2026 will include further budget proposals alongside providing an update on conversations with Government regarding Exceptional Financial Support and the impact of the Provisional Local Government Finance Settlement. Our fully updated MTFS position will be included as an appendix to the budget report to Council in early March 2026.	Directorate	Target £'000s	Gap £'000s	No. of savings schemes						Red/Amber	Green	Blue	Adult Social Care	2,106	265	0	6	9	Children, Families and Education	3,562	741	5	8	5	Growth & Environment	16,922	581	12	35	11	Resources	2,523	790	5	6	8	Housing	5,813	-1,364	3	3	3	TOM	15,370	7,870	1	0	0	Overall	46,296	8,883	27	58	36	Interim Director of Finance October 2025 and ongoing.	In progress
Directorate (£000s)	2025/26	2026-27	2027-28	2028-29	Total																																																																																																						
Children's, Families & Education & NRPF	3,562	2,777	720	0	7,059																																																																																																						
Adult Social Care	2,106	1,660	770	20	4,556																																																																																																						
Housing Services (GF)	5,813	4,799	4,256	1,500	16,367																																																																																																						
Growth & Environment	16,922	9,289	4,727	2,756	33,694																																																																																																						
Resources	2,523	1,405	2,025	1,525	7,478																																																																																																						
Corporate Budgets	15,370	4,630	5,000	5,000	30,000																																																																																																						
Total	46,296	24,560	17,498	10,801	99,154																																																																																																						
Directorate	Target £'000s	Gap £'000s	No. of savings schemes																																																																																																								
			Red/Amber	Green	Blue																																																																																																						
Adult Social Care	2,106	265	0	6	9																																																																																																						
Children, Families and Education	3,562	741	5	8	5																																																																																																						
Growth & Environment	16,922	581	12	35	11																																																																																																						
Resources	2,523	790	5	6	8																																																																																																						
Housing	5,813	-1,364	3	3	3																																																																																																						
TOM	15,370	7,870	1	0	0																																																																																																						
Overall	46,296	8,883	27	58	36																																																																																																						
SR2 - 08	Improvement plan in place for income assessment, billing, collection and debt recovery to maximise income due to the council. Actions to include: Review of finance processes to identify and implement improvements.	Improvement plan agreed with Overview and Scrutiny Committee. Review of finance processes commissioned and underway. Progress against the Improvement Plan monitored and reported as part of the monthly Financial Performance report to Finance and Transformation Board. Progress to date includes: Purchase card policy reviewed and updated. Weekly reporting to directorates. Training sessions for users took place to ensure understanding of new policy.	Q3 performance due to be published on 13 February 2026. See Q2 Financial Performance Report for details of performance Exchequer Quarterly Information.docx In summary: Overall payment of invoices within 30 days is on target at 96%. Collection of both Council Tax and business rates is ahead of the targeted level as at the end of September.	Assistant Director of Payroll & Pensions On-going to March 2026	In progress																																																																																																						

Statutory Recommendation 2		Ensure planned savings and efficiencies for 2025/26 are achievable and put in place cost control measures to avoid overspends			
Ref	Action	Progress Update	Impact	Responsible Officer and Target Date	Status
	Regular monitoring and reporting of income collection performance.	Additional officer assigned to work with housing benefit (HB) overpayments. Engaged with the Department for Work and Pensions (DWP) to help improve performance and external specialist HB advisors engaged to review Housing Benefit overpayments, with recommendations agreed and implementation work is currently underway. Additional four agency worker placements assigned to vacant posts, to support Accounts Receivable which will support debt recovery. To address current workflow bottlenecks, the vacant Team Leader role will shortly be filled temporarily by an agency worker placement. Meetings held with key debt areas, e.g. Adult Social Care and Waste to ensure closer working, resolve issues, and incorporate best practice. Invoices and Dunning letters, being reviewed to consider language and accessibility improvements as well as clearly signposting debt advice and support. An update was presented to Overview and Scrutiny in October 2025. Income collection performance is formally reported as part of the quarterly Financial Improvement report to Cabinet.	- The year-to-date overall performance for Accounts Payable as at the end of September 2025 is 96% of invoices being paid within 30 days, against the target of 96% maintaining consistency with the previous quarter. - The SME performance for the same period was at 75% compared to the target of 80%, however, the target has been met over the last two immediate months. The improvement has been as a result of collaboration between the Exchequer Service and our technical partners in the use of the supplier portal (Kefron) to identify invoices with priority payment terms for early payment. For Accounts Receivable: - The total cash target for council tax collection in 2025/26 is £220.6m. Collection up to September 2025 is £129.9m which is £1.9m more than expected at this point in the year. The service is taking advantage of automating processes to improve the use of staff time on billing and recovery work. This is resulting in both in-year and arrears having positive increases. Software to identify Council Tax rating list discrepancies has been implemented in September. - The Collection target for Business Rates in 2025/26 is 95.75%. Collection achieved for August 2025 is above target at 59.28% (or £196.7m) a positive variance of 1.28%. Software has been implemented during September to identify discrepancies in the Business Rates Rating lists for investigation and includes the Business Rates hub to aid the administration of the Small Business Rates Relief and identify potential fraud. - The total sundry debt balance increased from £51.2m in 2024/25 to £53.2m in 2025/26 (+3.8%). - Short-term debt (1–60 Days after due date) reduced by £2.18m, reflecting improvements in initial collections/customer payments. - Med-term debt (61-180 Days) increased by £2.7m, highlighting the ongoing risk of long-term arrears. - Older Debts (181–365 Days) increased by £3.09m, indicating the need to target older balances. - Historic debt over 360 days grew by £0.7m and now account for nearly 48% of total sundry debt. To strengthen the overall position, staff have been assigned to specific debt areas and vacant roles within the Accounts Receivable Team are being temporarily filled until the broader restructuring of the Exchequer Service is implemented, which will be part of the wider Finance Division restructure due to commence within the next 3 months.		

Statutory Recommendation 3		Replenish the level of unallocated general fund and HRA reserves to those levels deemed prudent by the Section 151 officer			
Ref	Action	Progress Update	Impact	Responsible Officer and Target Date	Status
SR3 - 02	Reserves strategy for General Fund and HRA to be developed and implemented as part of the 2026-27 and Medium-Term	The reserves strategy for both the General Fund and the Housing Revenue Account (HRA) will be reviewed and revised to reflect the Council's approach to replenishing the level of unallocated reserves.	In July 2025 the updated Medium Term Financial Strategy was reported to Cabinet. This update of the MTFs includes plans to replenish reserves to a more appropriate level, with a target of 10% (£45m) of the net revenue budget over the next 3 years as well as increasing contributions to provisions and contingency to put the	Corporate Director of Resources / Interim Director of Finance September 2025	In progress

Statutory Recommendation 3		Replenish the level of unallocated general fund and HRA reserves to those levels deemed prudent by the Section 151 officer			
Ref	Action	Progress Update	Impact	Responsible Officer and Target Date	Status
	Financial Strategy. Actions to include: - Review and update of the reserves strategy for General Fund and Housing Revenue Account - Planned increase in unallocated reserves to 10% of net revenue budget through budgeted contribution.	The HRA reserves strategy will form part of a wider HRA financial recovery plan. The outcome of and recommendations arising from the review will be set out in the HRA Budget report to Cabinet and Council in February/March. It is expected the HRA financial recovery plan will include set parameters with regards to reserves levels that will need to be adhered to. For the General Fund the MTFS update was reported to July Cabinet and reflects the strategy to increase the level of unallocated reserves to 10% of net revenue budget.	council in a stronger position to deal effectively with unexpected, unplanned events and pressures. The savings levels required to be achieved take into account the planned rebuild of reserves (Medium Term Financial Strategy Update Report 2026-2030.pdf). This will be updated as part of our budget report to Council in early March. In the Housing Revenue Account (HRA), which is ring-fenced from the General Fund, reserves have also substantially reduced in recent years to finance the cost of disrepairs, legal costs, and compensation, on top of the significant impact of the Government rent policy not keeping up with increasing cost from the impact of inflation. As part of the recovery plan, reserves which are currently £5.9m, will need to increase to a minimum of £15m. The Quarter 2 HRA monitoring position is showing a forecast underspend of £9m which is likely to be used to increase reserves. A financial recovery plan and 30-year business plans are being developed that will deliver a sustainable balanced HRA in the medium term. The HRA Budget for 2026/27 due to be considered by Cabinet and Council in February/March 2026 is being developed in line with the initial outcomes of the Financial Recovery by Savills. This includes rebuilding reserves to a sustainable level and within set parameters. .		

Statutory Recommendation 4		Reduce the unfunded budget gap within the Council's MTFS			
Ref	Action	Progress Update	Impact	Responsible Officer and Target Date	Status
SR4 - 02	Earlier identification and development of savings and income generation proposals and delivery plans to close the remaining budget gap over the MTFS period. Actions to include: - Early timetabling of budget challenge - Implementation of savings proposal and delivery template - Use of benchmarking & external support to support the identification and development of savings proposals. - Clear timetable for savings development over summer 2025 period.	The budget planning cycle for 26/27 is in its final stages. The full update to the MTFS will be presented as part of the Budget Report due at Cabinet in late February and Council in early March. In terms of budget setting, all budget proposals are subject to finance review and checking before they are recommended for approval. Further enhancements have been made following the current budget setting round particularly around earlier and clear timetabling for the development of proposals. A savings proposal and delivery template has been produced to ensure a consistent approach to the development of savings proposals. Budget challenge has taken place using both internal information and external benchmarking and comparative data to identify opportunities for significant savings and income generation to close the forecast budget gap over the MTFS period. External support was commissioned to support the identification and delivery of savings and cost reductions, particularly in relation to demand management, prevention and early intervention in Housing, Adult Social Care and Children's Services. The timetable for savings proposal development has been produced and forms part of the wider timetable for budget setting.	In July, the MTFS was agreed by Cabinet, setting out the funding gap for the next four years, to 2029/30. The total gap over the four years of the MTFS amounted to £84.378m. Since that time, officers have, as a priority, continued to review the costs of service pressures within the MTFS and will continue this work through the year. However, Q1 and Q2 monitoring demonstrates that significant service pressures remain across the social care and temporary accommodation budgets. The Q2 monitoring report for 2025/26 (reported to Cabinet on 24 November 2025) shows an overspend of £17.642m. Our forecast shows the main overspending areas to be on Temporary Accommodation, which accounts for £20.258m of this variance with £6.363m in Children, Families and Education and £6.873m for Integrated Health and Adult Social Care. As part of the budget setting process for 2025/26 a corporate provision was set aside in respect of the demand led areas of spend which mitigates the majority of these overspends. However, there is also a significant overspend in debt interest and an emerging issue in services in Growth & Environment. Measures are being taken to reduce spend and we are revisiting our budget assumptions in the MTFS in respect of these areas. We reported in Q2 that we were in conversations with Government regarding Exceptional Financial Support (EFS). EFS comes in the form of a capitalisation direction which means that we can borrow or generate capital receipts to fund revenue costs. We are aiming to	All Directors On-going to March 2026	In progress

Statutory Recommendation 4		Reduce the unfunded budget gap within the Council's MTFS																																																																																										
		The Council provided a robust response to the fair funding consultation and has lobbied government on funding, examples include: Lambeth: Council faces extremely challenging financial future Lambeth: Council sets out urgent action to deal with budget crisis	minimise borrowing and utilise capital receipts, as far as possible, as the cost of repaying this borrowing and interest charges will have an impact on our revenue budgets.																																																																																									
SR4 - 03	Review and develop the existing capital programme to reduce the borrowing requirement as part of the options to close the budget gap. Actions include: • Timed pause of capital projects during review period • Criteria developed to assess capital schemes. • Cross council working group to oversee the review of the capital programme • Governance arrangements established for asset disposal developed and agreed. • Asset disposal pipeline identified and agreed. • Accelerating asset sales to minimise borrowing requirements. • Assessment of costs associated with delivering action on climate change and Net Zero.	The capital programme is being reviewed to identify options to reduce debt costs. The review commenced in June 2025 and schemes which were not 100% externally funded or contractually committed were paused for the period of the review. The paused schemes have been assessed against a range of criteria. Those schemes which meet the criteria and are within the funding envelope are progressing forward. The remaining schemes are being considered as part of budget setting for 2026-27 and MTFS period. The first phase of the capital programme review is complete, and a detailed review of the individual schemes is being undertaken. The outcome will be formally reported in the Q3 Financial Performance Report and Budget 2026/27 Report. A Capital Officer Group was formed in early 2025/26 to review the Capital Investment Programme (CIP) and make recommendations on the continuation, cessation, or curtailment of each capital project, balancing the desire to continue to deliver capital projects and outcomes with the need to minimise the burden on the council's constrained resources, especially borrowing. In July 2025 the Council set out the proposed strategic approach for managing and investing in its housing stock and estates. A new approach to managing housing assets in accordance with the proposed Asset Management Framework Managing and investing in our housing stock and estates. This included a proposed tranche of assets disposals Appendix 5 Proposed tranche of HRA asset disposals.pdf. The first proceeds arising of this tranche of disposals have been received by the Council, with further disposals to take place over the coming months. A second tranche of disposals has been identified and is currently going through the approval process. The assessment of costs associated with delivering action on climate change and Net Zero will be included in phase 2. Phase 2 of the review has commenced. It will include a refresh of the capital strategy, a 10-year programme. With the aim of minimising borrowing. The budget will be reported to Full Council in March as per established timetables. A flexible use of capital receipts policy has been developed to support the Council's transformation activity which will help reduce costs and balance the budget. A significantly enhanced Capital Strategy is in the process of being written and will be considered for approval, alongside the Budget for 2026/27, at Council	The forecast position for the General Fund CIP is a £17.602m variance in the 2025/26 financial year, and £5.826m variance over the three-years of the current programme. The bulk of the 2025/26 forecast variance is attributable to unspent 2024/25 budgets being brought forward into 2025/26 that require reprofiling into future years to better match expected expenditure timings. Additionally, several schemes have been identified where they are now complete although residual budgets remain. Work is progressing to ensure that all final retention payments have been made before schemes are closed and any remaining budgets released. <table><tr><th rowspan="3">Directorate</th><th colspan="4">2025/26</th><th colspan="3">Programme 2025-2028</th></tr><tr><th>Budget</th><th>YTD Spend</th><th>Forecast</th><th>Forecast variance</th><th>Budget</th><th>Forecast</th><th>Forecast Variance</th></tr><tr><th>£000</th><th>£000</th><th>£000</th><th>£000</th><th>£000</th><th>£000</th><th>£000</th></tr><tr><td>Children, Families and Education</td><td>17,676</td><td>898</td><td>14,653</td><td>(3,023)</td><td>20,244</td><td>20,165</td><td>(79)</td></tr><tr><td>Growth and Environment</td><td>61,282</td><td>8,308</td><td>47,079</td><td>(14,204)</td><td>63,131</td><td>57,760</td><td>(5,371)</td></tr><tr><td>Housing (General Fund)</td><td>10,128</td><td>6,189</td><td>9,753</td><td>(376)</td><td>10,128</td><td>9,753</td><td>(376)</td></tr><tr><td>Integrated Health and Adult Social Care</td><td>2,921</td><td>520</td><td>2,921</td><td>-</td><td>2,921</td><td>2,921</td><td>-</td></tr><tr><td>Resources</td><td>3,573</td><td>211</td><td>3,573</td><td>-</td><td>3,573</td><td>3,573</td><td>-</td></tr><tr><td>Awaiting allocation</td><td>51,450</td><td>-</td><td>51,450</td><td>-</td><td>100,531</td><td>100,531</td><td>-</td></tr><tr><td>Contingency</td><td>11,685</td><td>-</td><td>11,685</td><td>-</td><td>11,685</td><td>11,685</td><td>-</td></tr><tr><td>Total General Fund Investment</td><td>158,715</td><td>16,125</td><td>141,113</td><td>(17,602)</td><td>212,214</td><td>206,387</td><td>(5,826)</td></tr></table> The recommendations arising from the capital review are likely to change the scale and scope of the CIP budgets substantially from the currently reported position, more closely aligning with the current forecast expenditure. It is expected that annual profiles of budgets and revisions to contingency and high-level 'thematic' allocations will be completed alongside any other budget changes arising from the review. To ensure the HRA is not burdened with higher levels of borrowing in the medium term the Council has approved an updated Asset Management Strategy and agreed a first tranche of asset sales, with proceeds arising from these disposals being received in early 2026. A second tranche has been developed and is currently going through the approvals process. Further tranches of asset sales are also being prepared for approval. Since 2016, the UK government has permitted local authorities to use capital receipts from asset sales to fund the revenue costs of service reform and transformation projects. The guidance requires the Council to prepare, publish and maintain a Flexible Use of Capital Receipts Strategy. This strategy must be approved by Full Council. Cabinet have been asked to agree the strategy for recommendation to Full Council, noting that work is ongoing in relation to both generating receipts and identifying qualifying expenditure and an updated strategy will be included as part of the Budget Report to Full Council. The strategy outlines the expenditure which is proposed to be funded by capital receipts (totalling £1.3m). The implication of funding this expenditure from capital receipts is to reduce the forecast expenditure in the current year by £1.3m. This is reflected in corporate items at this		Directorate	2025/26				Programme 2025-2028			Budget	YTD Spend	Forecast	Forecast variance	Budget	Forecast	Forecast Variance	£000	£000	£000	£000	£000	£000	£000	Children, Families and Education	17,676	898	14,653	(3,023)	20,244	20,165	(79)	Growth and Environment	61,282	8,308	47,079	(14,204)	63,131	57,760	(5,371)	Housing (General Fund)	10,128	6,189	9,753	(376)	10,128	9,753	(376)	Integrated Health and Adult Social Care	2,921	520	2,921	-	2,921	2,921	-	Resources	3,573	211	3,573	-	3,573	3,573	-	Awaiting allocation	51,450	-	51,450	-	100,531	100,531	-	Contingency	11,685	-	11,685	-	11,685	11,685	-	Total General Fund Investment	158,715	16,125	141,113	(17,602)	212,214	206,387	(5,826)	Interim Director of Finance, Director of Housing Operations On-going to March 2026	In progress
Directorate	2025/26					Programme 2025-2028																																																																																						
	Budget	YTD Spend	Forecast	Forecast variance		Budget	Forecast	Forecast Variance																																																																																				
	£000	£000	£000	£000	£000	£000	£000																																																																																					
Children, Families and Education	17,676	898	14,653	(3,023)	20,244	20,165	(79)																																																																																					
Growth and Environment	61,282	8,308	47,079	(14,204)	63,131	57,760	(5,371)																																																																																					
Housing (General Fund)	10,128	6,189	9,753	(376)	10,128	9,753	(376)																																																																																					
Integrated Health and Adult Social Care	2,921	520	2,921	-	2,921	2,921	-																																																																																					
Resources	3,573	211	3,573	-	3,573	3,573	-																																																																																					
Awaiting allocation	51,450	-	51,450	-	100,531	100,531	-																																																																																					
Contingency	11,685	-	11,685	-	11,685	11,685	-																																																																																					
Total General Fund Investment	158,715	16,125	141,113	(17,602)	212,214	206,387	(5,826)																																																																																					

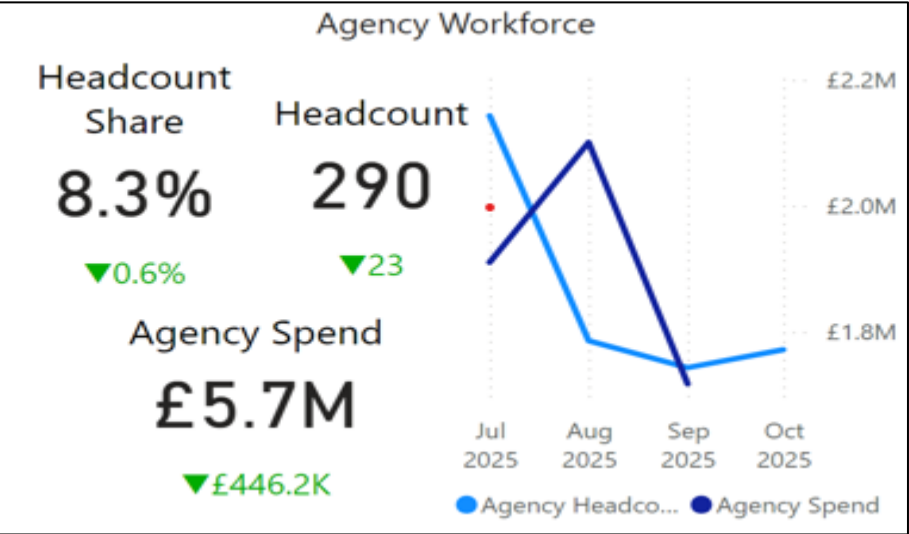
Statutory Recommendation 4		Reduce the unfunded budget gap within the Council's MTFS			
			stage. If the strategy is not agreed by Full Council, the forecast would be adjusted to reflect the corresponding increase.		
SR4 - 04	Produce a financial recovery plan for the Housing Revenue Account to deliver a sustainable budget, including milestones and key performance indicators to monitor and report progress against the plan. Actions to include: - Review and update of recharges between HRA & GF in 2024/25. - Accelerate HRA asset sales to minimise borrowing requirements. - Review of financial implications of regeneration on HRA - Increased prominence of HRA in financial reporting. - External support to independently review the HRA in line with the assurance requirements of MHCLG	External review of the HRA has been commissioned to support the development of the HRA financial recovery plan and the HRA 30-year business plan. The first stage of this review, an initial assessment of the current position, has been undertaken. The initial findings are being used to set the direction of travel for the HRA, starting with the HRA Budget for 2026/27. During the course of the next year a fully refreshed 30 year HRA is being developed. Review of recharges between HRA & GF undertaken and reflected in the 2024/25 draft Accounts. HRA Asset Management Strategy and first tranche of asset disposals have been produced for formal approval. Following the agreement with MHCLG for Exceptional Financial Support (EFS) we have implemented a range of actions focused on improving further our control of and response to the financial issues affecting the HRA, including taking action to deal with the fundamental challenges of disrepair costs and long-term voids. These actions are intended to bring expenditure under control, eliminating the deficit and resetting the HRA on a sustainable footing. This will generate budget surpluses over the coming years and allow for the building back of reserves to an appropriate level. In July 2025 the Council presented a report to Overview and Scrutiny which set out the Council's proposed strategic approach for managing and investing in its housing stock and estates OSC Managing and investing in our housing stock and estates. It presents a new approach to managing housing assets in accordance with the proposed Asset Management Framework. The HRA recovery plan actions have been incorporated in the HRA budget, the outcomes will be reported as part of the budget setting process using established timetables. Quarterly meetings are held with MHCLG to provide assurance and updates on the Council's progress on managing the HRA and appropriately utilise the £40m Exceptional Financial Support (EFS). The Q1 update covered the following points: 2024/25 outturn. 2025/26 forecast performance. - Disrepair progress and strategy. - Disposal of HRA assets. - Longer Term Planning: Financial Recovery Plan, Medium Term Financial Strategy (MTFS) and 30 year Business Plan. The Q2 update meeting with MHCLG covered the following points: 2025/26 forecast financial performance - The use of EFS in 2025/26 and whether further EFS would be required in future years - Disrepair performance and progress - Progress made on the HRA Financial Recovery Plan	The HRA is forecasting a £9m underspend in 2025/26 as at Q2. This underspend arises from additional income from leaseholder charges, lower interest costs and lower overhead recharges. It assumes that the £40m of EFS allocated will be fully utilised in 2025/26 on disrepair costs. The Council is currently not expecting a further requirement for EFS in 2026/27. To ensure the HRA is not burdened with higher levels of borrowing in the medium term the Council has approved an updated Asset Management Strategy and agreed a first tranche of asset sales, with proceeds arising from these disposals expected to commence in early 2026. Further tranches of asset sales are being prepared for approval. The Council has commissioned external support to develop a formal recovery plan for the HRA. An initial draft of their Diagnostic Review has been received by the Council. The next stages of this process will involve developing an updated 30-year HRA Business Plan and ensuring the HRA Budget for 2026/27 is consistent with the direction of travel set out in the Q2 Financial Performance Report.	Director of Housing Operations & Interim Director of Finance February 2026	In progress

Statutory Recommendation 4		Reduce the unfunded budget gap within the Council's MTFS			
SR4 - 05	Review and revise the Treasury Management Strategy to support the delivery of a balanced budget.	The council's Treasury Management Strategy (TMS) for 2025/26 to 2027/28 was set out in Appendix 9 to the Revenue and Capital Budget presented to Council on 05 March 2025 (Treasury Management and Capital Strategy 2025-26 to 2027-28.pdf) It follows the requirements of the Chartered Institute of Public Finance and Accountancy (CIPFA) Treasury Management Code of Practice and Prudential Code and incorporates a debt management strategy that reflects the council's need to borrow to manage its cash flows. In addition, the council follows the revised 2018 guidance issued by the Ministry for Housing, Communities and Local Government (MHCLG) on local authority investments that requires full Council to approve an investment strategy before the start of each financial year; the guidance also stipulates that the council must monitor all treasury management activity undertaken. Treasury Performance is reported to Corporate Committee biannually. The last report was in September 2025 Treasury Management Quarterly Performance Report to 30 June 2025. It is also included in the Quarterly Financial Performance Report to Cabinet.	Treasury Performance was reported to Corporate Committee in November 2025. A separate review of the strategy is nearing completion, supported by the council's treasury advisors which will be linked to the Capital Investment Programme Review. The updated strategy will form part of the budget report going to Council in early March.	Interim Director of Finance February 2026	In progress

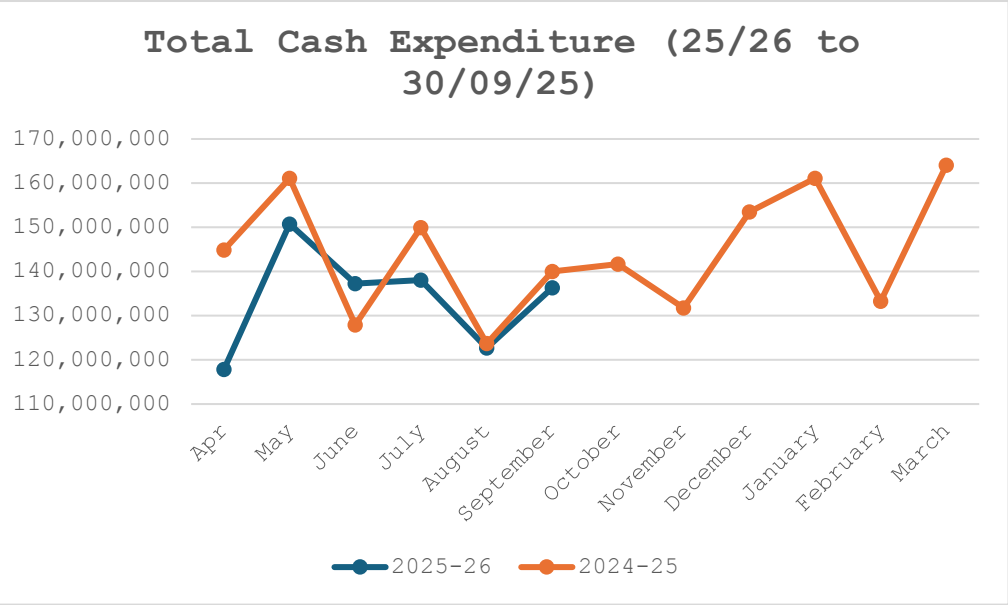
Statutory Recommendation 5		Implement the key recommendation of the Kerslake report of bringing the provision of housing services through Homes for Lambeth back 'in-house' and determine the associated financial consequences and the impact on the level of reserves and the MTFS			
Ref	Action	Progress Update	Impact	Responsible Officer and Target Date	Status
SR5 - 01	Complete an appraisal of the financial impact of Homes for Lambeth. Actions to include: - A financial appraisal of the Homes for Lambeth closure plan - Identifying the implications of the plan for both the HRA and General Fund - Reflecting the implications in the MTFS and HRA budget planning. - Confirming the appropriate accounting arrangements for transactions relating to Homes for Lambeth	A financial appraisal has been undertaken to identify and address the financial implications for the Council's General Fund and Housing Revenue Account. The accounting arrangements have been updated and are reflected in the draft Statement of Accounts 2024/25 in line with the CIPFA Code. The future years implications are reflected in the MTFS update presented to July Cabinet. A full review of the Council's group accounts, which include HFL, has been undertaken to ensure the 2024/25 Accounts reflect the requirements of the CIPFA Code.	The Council has fully reviewed its accounting arrangements for HFL in its 2024/25 financial statements. This review ensures the Council is making the correct accounting entries, in line with the CIPFA Code, with regards to the loans from the Council. The statutory recommendation on HfL is to complete a financial appraisal of the impact of Homes for Lambeth. The vast majority of bringing activities in-house which was the subject of the Kerslake review has taken place with housing development now being in-house. Virtually all operational activity relating to HfL properties is carried out by the Council. The Council has commissioned an external legal and financial review of the future of HFL, which will look at all available options. It is important that the decision on the future of HfL is taken on an informed basis that takes account of the Council's transformation and service redesign plans as well as our financial situation. The outcome of the review will provide the relevant considerations to inform the decision on HfL going forward. We are already looking at using HfL for temporary accommodation in the same way as many other councils and this will be brought forward as quickly as possible this year.	Interim Director of Finance September 2025	In progress

Actions Previously Agreed as Implemented and Closed by Corporate Committee

Ref	Action	Progress Update	Impact	Responsible Officer and Target Date	Status																				
SR1 - 01	Savings and efficiencies in 2024-25 to be identified as part of the Council's budget monitoring and reporting arrangements	Savings and efficiencies were identified, and expenditure reductions were achieved across service directorates; however, these were offset by increases in corporate costs, particularly ensuring adequate provision is made to service the Council's borrowing for capital schemes. Tracking of savings delivery has been enhanced and a comprehensive savings tracker has been introduced which will be reported in the Q1 Financial Performance Report. In 2024/25 the savings to be delivered were as follows: <table><tr><th>Directorate (£000s)</th><th>2024-25</th></tr><tr><td>Resident Services</td><td>12,130</td></tr><tr><td>Housing Services (GF)</td><td>4,730</td></tr><tr><td>Adults & Health</td><td>3,626</td></tr><tr><td>Chief Executive</td><td>511</td></tr><tr><td>Children, Families & Education and NRPF</td><td>1,960</td></tr><tr><td>Climate & Inclusive Growth</td><td>1,330</td></tr><tr><td>Finance</td><td>1,530</td></tr><tr><td>Communities, Governance & Change</td><td>140</td></tr><tr><td>Total</td><td>25,957</td></tr></table> See Appendix A Financial Performance Report Q3.pdf for further details.	Directorate (£000s)	2024-25	Resident Services	12,130	Housing Services (GF)	4,730	Adults & Health	3,626	Chief Executive	511	Children, Families & Education and NRPF	1,960	Climate & Inclusive Growth	1,330	Finance	1,530	Communities, Governance & Change	140	Total	25,957	Positive variances (surplus) were reported in four directorate budgets in the outturn position to Cabinet in July 2025 follows: - Resident and Enabling Services £3.884m (Previous forecast £0.519m) - Climate and Inclusive Growth £0.827m (Previous forecast at £0.116m) - Finance £0.412m (Previous forecast £0.172m overspend) - Communities, Governance and Change £0.910m (Previous forecast £0.220m). And only small overspends in 3 directorates (when compared to their budget): - Children's, Family & Education £0.055m (Previous forecast overspend £4.567m) - Integrated Health & Care £0.013m (Previous forecast overspend £0) - Chief Executive £0.003m (Previous forecast overspend £0.263m). However, the Council ended the financial year with an overspend in the General Fund of £60.493m. The majority of the overspend (£35.360m) relates to the numbers in and costs of Temporary Accommodation, the overspend on corporate budgets is mainly due to an overspend of £15.6m on net interest payable and receivable and an unbudgeted increase in bad debt provisions of £14.437m. There were also pressures relating to a reduction in recharged costs to the Housing Revenue Account (HRA). The pressures were partly off-set by top-ups to reserves not taking place and increases in grant Funding (Financial Performance Report 2024-25). The Council continues to face an extremely difficult financial future but is focused on taking positive action to maintain a balanced budget. As demonstrated by undertaking an early financial forecast (Early Year Financial Forecast 2025-26) and its latest Medium Term Financial Strategy (Medium Term Financial Strategy Update Report 2026-2030).	All Corporate Directors July 2025	Closed
Directorate (£000s)	2024-25																								
Resident Services	12,130																								
Housing Services (GF)	4,730																								
Adults & Health	3,626																								
Chief Executive	511																								
Children, Families & Education and NRPF	1,960																								
Climate & Inclusive Growth	1,330																								
Finance	1,530																								
Communities, Governance & Change	140																								
Total	25,957																								
SR1 - 02	To continue to operate spending control arrangements to minimise avoidable staffing and non-staffing expenditure during 2024-25.	The spend control panel has been in place since September 2024, as part of the management actions to address the overspend. Guidance is available for all staff on the Intranet and the council's approach to spend control has been widely communicated through staff bulletins, updates from the Chief Executive, dedicated budget updates and 'Round table' briefings. The Spend Control Panel (SCP) consists of the Corporate Director of Finance and Director of Human Resources and Organisational Development, along with other officers in a non-decision-making capacity. The SCP approves all agency and workforce expenditure, as well as non-staffing expenditure from £10k and above. The controls will continue for the foreseeable future and are subject to ongoing review to ensure maximum impact. Internal Audit will be undertaking a review of Spend Control to provide independent assurance over its effectiveness and are aiming to report in January 2026.	Fully quantifying the impact of spend control can be challenging, for example, there are positive benefits related to the cultural change which need to be captured i.e. the number and value of decisions taken locally within directorates not to spend and therefore not seeking SCP intervention. The positive impact of spend control is still evident in agency spend, which reduced from Q4 2024/25, and again in Q1 2025/2026 and Q2 2025/26 detailed below: Q4 2024/25 to Q1 2025/26 <table><tr><th>Q4 £</th><th>Q1 £</th><th>Reduction £ / (%)</th></tr><tr><td>6,731,240</td><td>6,142,179</td><td>-589,061 (8.8%)</td></tr></table> Q1 2025/26 to Q2 2025/26 <table><tr><th>Q1 £</th><th>Q2</th><th>Reduction £ / (%)</th></tr><tr><td>6,142,179</td><td>5,695,979</td><td>-446,200 (7.3%)</td></tr></table>	Q4 £	Q1 £	Reduction £ / (%)	6,731,240	6,142,179	-589,061 (8.8%)	Q1 £	Q2	Reduction £ / (%)	6,142,179	5,695,979	-446,200 (7.3%)	Corporate Director of Resources March 2026	Closed								
Q4 £	Q1 £	Reduction £ / (%)																							
6,731,240	6,142,179	-589,061 (8.8%)																							
Q1 £	Q2	Reduction £ / (%)																							
6,142,179	5,695,979	-446,200 (7.3%)																							



In relation to non-staffing spend, the council has spent significantly less in comparison to the same period the previous year. A comparison of all cash outflows in the six months to 30 September 2025 (excluding loans advanced and debt principal/interest repaid) against the same period in 2024/25 has identified a year-on-year reduction of £44.6m. The graph below compares the month-on-month movement across the two financial years; typically outflows tend to increase in the second half of the year, and so the full year forecast for cash outflows is currently a reduction on 24/25 outflows by approx. £42.2m.



Although spend control is having an impact and the General Fund forecast has improved since Q1, it is emphasised that given where we are in the financial year it is likely that we will end the year with a significant overspend on the General Fund and the S151 office is in conversation with Government in terms of the possibility that Exceptional Financial Support (EFS) may be required. This would be in addition to the EFS secured for the HRA for the current year. EFS is temporary financial assistance enabling the management of budget shortfalls so that essential services continue to be delivered, while plans are implemented to return to a sustainable balanced budget position. Whilst the S151 officer is confident that a balanced position can be achieved, measures put in place and reviews underway will take time to feed into the underlying financial position and some support will be required in the meantime. EFS normally allows councils to borrow or use capital receipts to fund day to day services, with conditions. If funded by borrowing, there will be a cost of interest to be paid while the debt is outstanding, and the debt must

			normally be repaid over 20 years. Should EFS be sought the Council would look to fund this by a planned programme of asset disposals. Any decisions on asset disposals would, of course, be subject to Cabinet approval.		
--	--	--	--	--	--

SR2 - 02	Provide monthly budget monitoring reports setting out the revenue and capital position, including income and debt recovery, savings and management actions.	Monthly Financial Performance reports are presented to Directorate Management Teams, and these arrangements have been enhanced and improved further, including the revenue and capital position, income and debt recovery, savings and management actions plus: • A monthly savings tracker is in place, with responsible officers required to update progress on the Council's 'InPhase' system. • All savings are monitored monthly through the Finance & Transformation Management Board. • Monthly reporting to Cabinet Member and Cabinet. • Financial performance monitoring has been enhanced to incorporate additional review processes, including the identification of risks and checking of assumptions to ensure consistency. • Processes also include the regular monitoring of savings delivery and identification of mitigating actions. The savings tracker is incorporated into the quarterly finance update reports to Cabinet.	The Q1 Financial Performance Report is available here Quarter 1 Financial Performance Report and Q2 here Q2 Financial Performance Report. The report identifies and explains the Council's budget, forecast expenditure, income and variances against budget for the financial year. It provides an overview of the financial position, as well as commentary on each directorate, with explanations for forecast over/underspend for each respective directorate and actions being taken and planned to bring down the forecast overspend to within budget by the end of the financial year. <table><tr><th>Directorate</th><th>Budget £M</th><th>Forecast £M</th><th>Variance £M</th></tr><tr><td>CFE</td><td>118.938</td><td>125.351</td><td>6.363</td></tr><tr><td>Health/ASC</td><td>123.471</td><td>130.344</td><td>6.873</td></tr><tr><td>Housing</td><td>42.455</td><td>62.713</td><td>20.258</td></tr><tr><td>G&E</td><td>3.988</td><td>6.482</td><td>2.494</td></tr><tr><td>Resources</td><td>66.348</td><td>66.414</td><td>1.066</td></tr><tr><td>Subtotal</td><td>355.250</td><td>392.303</td><td>37.053</td></tr><tr><td>Corporate Items</td><td>88.200</td><td>68.790</td><td>(19.410)</td></tr><tr><td>Total</td><td>443.450</td><td>461.092</td><td>17.642</td></tr></table> The Revenue General Fund projected year end position is a net overspend of +£17.6m, a decrease of £2.8m from the Quarter 1 forecast and significantly less than the year end position for 2024/25. The largest overspends are +£20.258m in Housing Services and +£6.9m in Adult Social Care. There is also a £12.7m overspend relating to debt financing costs and a £6.4m overspend across Children, Families and Education. These are offset in part by £27.5m of budget held corporately for demand-related risks. There is also an increase in the Growth and Environment overspend reflecting updated year end forecasts. Although the General Fund forecast has improved since Q1, it is likely that we will end the year with an overspend on the General Fund and the S151 officer is in discussion with Government in terms of the possibility that Exceptional Financial Support (EFS) may be required. This would be in addition to the EFS secured for the HRA for the current year. EFS is temporary financial assistance enabling the management of budget shortfalls so that essential services continue to be delivered, while plans are implemented to return to a sustainable balanced budget position. Whilst the S151 officer is confident that a balanced position can be achieved, measures put in place and reviews underway will take time to feed into the structural financial position and some support will be required in the meantime. EFS normally allows councils to borrow or use capital receipts to fund day to day services, with conditions. Should EFS be sought the Council would look to fund this by a planned programme of asset disposals. Any decisions on asset disposals will be subject to Cabinet approval.	Directorate	Budget £M	Forecast £M	Variance £M	CFE	118.938	125.351	6.363	Health/ASC	123.471	130.344	6.873	Housing	42.455	62.713	20.258	G&E	3.988	6.482	2.494	Resources	66.348	66.414	1.066	Subtotal	355.250	392.303	37.053	Corporate Items	88.200	68.790	(19.410)	Total	443.450	461.092	17.642	Corporate Director of Resources	Closed
Directorate	Budget £M	Forecast £M	Variance £M																																						
CFE	118.938	125.351	6.363																																						
Health/ASC	123.471	130.344	6.873																																						
Housing	42.455	62.713	20.258																																						
G&E	3.988	6.482	2.494																																						
Resources	66.348	66.414	1.066																																						
Subtotal	355.250	392.303	37.053																																						
Corporate Items	88.200	68.790	(19.410)																																						
Total	443.450	461.092	17.642																																						
				July 2025 and ongoing																																					

SR2 - 03	Provide comprehensive quarterly finance monitoring reports to Cabinet and Scrutiny.	The format and content of the quarterly Financial Performance reports have been reviewed to ensure they provide information clearly and transparently to ensure informed decision making, are sufficiently focussed on the key financial information and analysis and set out clearly the actions taken and planned to improve the Council's financial position. Areas now covered by the report include:	Comprehensive quarterly finance monitoring reports are now established and have been publicly reported in quarters 1 and 2. Finance Planning and Medium-Term Finance Strategy is on the scrutiny work programme for December 2025. This action is now complete, and we recommend it is closed.	Corporate Director of Resources September 2025	Closed
----------	---	---	--	---	--------

		- General Fund (Revenue) position. - A section listing mitigating management actions being taken and planned to bring down the forecast overspend to within budget - Performance information on the delivery of savings for 2025/26, providing the overall delivery and detailing those areas where there are risks to the savings being delivered. - HRA, DSG, reserves, capital programme, Treasury Management (including Council's borrowing) and performance relating to the payment of invoices and income. - Financial performance monitoring has been enhanced to incorporate additional review processes, including the identification of risks and checking of assumptions to ensure consistency. - Processes also include the regular monitoring of savings delivery and identification of mitigating actions. In July 2025 the Council presented, for the first time, an early year forecast for 25/26 - Early Year End Forecast (July 2025) to support transparency and decision making. This supported Cabinet in deciding to engage external support to improve opportunities to manage demand and increase savings and to do so at pace. In September 2025 the Q1 Financial Performance Report was published Quarter 1 Budget Monitoring Report. In November 2025 the Q2 Financial Performance Report was published Q2 Financial Performance Report.																																																								
SR2 - 04	Produce a monthly savings tracker to monitor and report on delivery progress and any identified risks and mitigations. Actions to include: - Regular reporting to the Finance & Transformation Management Board which meets fortnightly. - Monthly monitoring and reporting by Cabinet Members - Quarterly reporting on savings delivery progress to Cabinet as part of the Council's Financial Performance Report	A monthly savings tracker is in place, detailing all of the agreed savings for 2025-26. Corporate Directors are required to update on progress, to confirm whether the saving has been delivered, is on track, or is at risk and therefore requiring mitigating action. The savings tracker is a standing agenda item at the Finance and Transformation Management Board and shared with Cabinet Members. The savings tracker is incorporated into the quarterly Financial Performance reports to Cabinet. In September 2025 the Q1 Financial Performance Report was published Quarter 1 Financial Performance Report In November 2025 the Q2 Financial Performance Report was published Q2 Financial Performance Report.	Comprehensive monthly savings tracking and reporting to the Finance and Transformation Board, Cabinet Members and Cabinet and quarterly finance monitoring reports are now established. We recommend this action is closed. Savings Delivery Forecast Quarter 2 <table><tr><th rowspan="2">Directorate</th><th>Target</th><th>Gap</th><th colspan="3">No. of savings schemes</th></tr><tr><th>£'000s</th><th>£'000s</th><th>Red/Amber</th><th>Green</th><th>Blue</th></tr><tr><td>Adult Social Care</td><td>2,106</td><td>265</td><td>0</td><td>6</td><td>9</td></tr><tr><td>Children, Families and Education</td><td>3,562</td><td>741</td><td>5</td><td>8</td><td>5</td></tr><tr><td>Growth & Environment</td><td>16,922</td><td>581</td><td>12</td><td>35</td><td>11</td></tr><tr><td>Resources</td><td>2,523</td><td>790</td><td>5</td><td>6</td><td>8</td></tr><tr><td>Housing</td><td>5,813</td><td>-1,364</td><td>3</td><td>3</td><td>3</td></tr><tr><td>TOM</td><td>15,370</td><td>7,870</td><td>1</td><td>0</td><td>0</td></tr><tr><td>Overall</td><td>46,296</td><td>8,883</td><td>27</td><td>58</td><td>36</td></tr></table> Blue – savings have been delivered. Green – savings are on track to be delivered. Red/Amber – savings delivery is at risk. The forecast overspend includes management actions already being taken and further management actions are being developed, some examples of which are described below: - Monthly review and challenge of high-cost children's placements. - Moving to more framework contracts (Children's Families & Education) where practical to achieve greater value for money. - Improving performance in reviewing adult care packages and placements, targeting areas to ensure care provided is both appropriate	Directorate	Target	Gap	No. of savings schemes			£'000s	£'000s	Red/Amber	Green	Blue	Adult Social Care	2,106	265	0	6	9	Children, Families and Education	3,562	741	5	8	5	Growth & Environment	16,922	581	12	35	11	Resources	2,523	790	5	6	8	Housing	5,813	-1,364	3	3	3	TOM	15,370	7,870	1	0	0	Overall	46,296	8,883	27	58	36	Interim Director of Finance and Assistant Director of Corporate Delivery On-going – Business as Usual	Closed
Directorate	Target	Gap	No. of savings schemes																																																							
	£'000s	£'000s	Red/Amber	Green	Blue																																																					
Adult Social Care	2,106	265	0	6	9																																																					
Children, Families and Education	3,562	741	5	8	5																																																					
Growth & Environment	16,922	581	12	35	11																																																					
Resources	2,523	790	5	6	8																																																					
Housing	5,813	-1,364	3	3	3																																																					
TOM	15,370	7,870	1	0	0																																																					
Overall	46,296	8,883	27	58	36																																																					

			and providing good value for money, enabling timely adjustments and cost savings. - Enhanced focus on initial contact with social care services; increasing reablement referrals from the community to help individuals regain independence and avoid long-term care. - Maximise income generation opportunities (Growth & Environment). - Exploring alternative legal structures and powers to increase the amount of Housing Benefit that can be claimed to increase income to the Council. - Implementation of improvements in income collection and debt recovery with resulting improved impact on bad debt provisions It is recognised that actions are not offsetting the forecast pressures in their entirety, but as the Q2 report shows these are having an impact, with overspend maintained rather than increasing. Taken together with the demand-led contingency budget held corporately the overspend on the demand-led service areas would be circa £6m, which while significant, compares favourably to previous years and some of our peers.		
SR2 - 05	- Identify and deliver agreed management actions that are required to offset any in-year pressures. Actions to include: - Early reporting of year-end forecast for 2025/26 (month 2 position) to Cabinet, including management actions being taken and planned to bring down spend. - Regular monthly reporting to the Finance & Transformation Management Board which meets fortnightly. - Monthly reporting to Cabinet Members - Quarterly reporting on savings delivery progress to Cabinet as part of the Council's Financial Performance Report	A monthly Financial Performance report is in place which includes details of management actions being taken and planned to offset any savings delivery at risk and any forecast overspend pressures. Corporate Directors are required to update on progress, to confirm whether the management action has been delivered, is on track, or is at risk and therefore requires alternative mitigating action The monthly Financial Performance report is presented to Finance and Transformation Board, The management actions are reviewed by Cabinet Members as part of the monthly Financial Performance report. The management actions are incorporated into the quarterly Financial Performance reports to Cabinet. The management actions are included in the Early Forecast to July Cabinet. In July 2025 the Council presented, for the first time, an early year forecast for 25/26 - <u>Early Year End Forecast (July 2025)</u> to support transparency and decision making. This support Cabinet in deciding to engage external support to improve opportunities to manage demand and increase savings. In September 2025 the Q1 Financial Performance Report was published <u>Quarter 1 Financial Performance Report</u> In November 2025 the Q2 Financial Performance Report was published <u>Q2 Financial Performance Report</u>.	The General Fund forecast has improved by £2.8m since the Q1 position was reported, with a reduced forecast overspend of £17.6m. Given where we are in the financial year it is likely that we will end the year with an overspend on the General Fund and the Council is therefore engaging with Government about Exceptional Financial Support (EFS). This would be in addition to the EFS secured for the HRA for the current year. EFS is temporary financial assistance enabling the management of budget shortfalls so that essential services continue to be delivered, while plans are implemented to return to a sustainable balanced budget position. Whilst the S151 officer is confident that a return to a balanced position can be achieved, measures put in place and reviews underway to address the structural budget deficit will take time to demonstrably impact the underlying financial position and some financial support will be required in the meantime. EFS normally allows councils to borrow or use capital receipts to fund day to day services, with conditions. The council would look to fund EFS from a planned programme of asset disposals to generate capital receipts that would minimise the need to borrow. Any decisions on asset disposals would be subject to Cabinet approval. The Q2 Financial Performance Report sets out the mitigating management actions <u>Q2 Financial Performance Report</u> these include: - Spend Control to continue throughout 2025/26 and beyond. - Monthly review and challenge of high-cost placements in social care. - Moving to more framework contracts where practical to achieve greater value for money - Maximising commercial portfolio income - Holding vacancies in line with recruitment freeze. - Agency staff contracts being ended, or staff being absorbed into the permanent structure. - A review of non-pay spend is being undertaken to reduce spend. - Implementation of improvements in income collection and debt recovery with resulting improved impact on bad debt provisions. - Establishment of a rapid assessment and resettlement hub to replace hotel provision and reduce Temporary Accommodation costs. - Identification of additional savings and management actions to be considered and agreed by Cabinet.	All Corporate Directors On-going to March 2026	Closed

			In addition, the council is proposing the flexible use of capital receipts to fund transformation activity. Since 2016, the UK government has permitted local authorities to use capital receipts from asset sales to fund the revenue costs of service reform and transformation projects. The guidance requires the Council to prepare, publish and maintain a Flexible Use of Capital Receipts Strategy. This strategy must be approved by Full Council. Cabinet have been asked to agree the strategy for recommendation to Full Council, noting that work is ongoing in relation to both generating receipts and identifying qualifying expenditure and an updated strategy will be included as part of the Budget Report to Full Council. The strategy outlines the expenditure which is proposed to be funded by capital receipts (totalling £1.3m). The implication of funding this expenditure from capital receipts is to reduce the forecast expenditure in the current year by £1.3m. This is reflected in corporate items at this stage. If the strategy is not agreed by Full Council, the forecast would be adjusted to reflect the corresponding increase.		
--	--	--	--	--	--

SR2 - 06	Spending controls to be in place to limit avoidable non-essential spend. Actions to include: • Spend Control panel meeting regularly to consider spend requests. • Criteria for essential / unavoidable spend. • Approval limits revised to require Director and Corporate Director approval for spend with additional Spend Control Panel approval. • Regular reporting of spend request information and impact	The spend control panel has been in place since September 2024, as part of the management actions to address the overspend. Guidance is available for all staff on the Intranet and the council's approach to spend control has been widely communicated through staff bulletins, updates from the Chief Executive, dedicated budget updates and 'Round table' briefings. The Spend Control Panel (SCP) consists of the Corporate Director of Finance and Director of Human Resources and Organisational Development, along with other officers in a non-decision-making capacity. The SCP approves all agency and workforce expenditure, as well as non-staffing expenditure from £10k and above. Specific actions are agreed by the panel for implementation to have a direct impact on reducing costs. This includes mandatory leave for agency staff and overtime bans, with exceptions considered through the spend controls process. Dashboards reports and analysis of spend control decisions relating to staff requests produced and circulated regularly. Spending controls will continue for the foreseeable future and are subject to ongoing review to ensure maximum impact. Internal Audit will be undertaking a review of the Spend Control arrangements to provide independent assurance over its effectiveness and are aiming to report in January 2026.	Fully quantifying the impact of spend control can be challenging, for example, there are positive benefits related to the cultural change which need to be captured i.e. the number and value of decisions taken locally within directorates not to spend and therefore not seeking SCP intervention. The positive impact of spend control is still evident in agency spend, which reduced from Q4 2024/25, and again in Q1 2025/2026 and Q2 2025/26 detailed below: Q4 2024/25 to Q1 2025/26 <table><tr><th>Q4 £</th><th>Q1 £</th><th>Reduction £ / (%)</th></tr><tr><td>6,731,240</td><td>6,142,179</td><td>-589,061 (8.8%)</td></tr></table> Q1 2025/26 to Q2 2025/26 <table><tr><th>Q1 £</th><th>Q2</th><th>Reduction £ / (%)</th></tr><tr><td>6,142,179</td><td>5,695,979</td><td>-446,200 (7.3%)</td></tr></table> Agency Workforce Headcount Share 8.3% ▼0.6% Headcount 290 ▼23 Agency Spend £5.7M ▼£446.2K Jul 2025 Aug 2025 Sep 2025 Oct 2025 ● Agency Headco... ● Agency Spend In relation to non-staffing spend, the council has spent significantly less in comparison to the same period the previous year. A comparison of all cash outflows in the six months to 30 September 2025 (excluding loans advanced and debt principal/interest repaid) against the same period in 2024/25 has identified a year-on-year reduction of £44.6m. The graph below compares the	Q4 £	Q1 £	Reduction £ / (%)	6,731,240	6,142,179	-589,061 (8.8%)	Q1 £	Q2	Reduction £ / (%)	6,142,179	5,695,979	-446,200 (7.3%)	Corporate Director of Resources On-going to March 2026	In progress
Q4 £	Q1 £	Reduction £ / (%)															
6,731,240	6,142,179	-589,061 (8.8%)															
Q1 £	Q2	Reduction £ / (%)															
6,142,179	5,695,979	-446,200 (7.3%)															

			month-on-month movement across the two financial years; typically outflows tend to increase in the second half of the year, and so the full year forecast for cash outflows is currently a reduction on 24/25 outflows by approx. £42.2m. Total Cash Expenditure (25/26 to 30/09/25) <table><caption>Total Cash Expenditure (25/26 to 30/09/25)</caption><tr><th>Month</th><th>2025-26 (£m)</th><th>2024-25 (£m)</th></tr><tr><td>Apr</td><td>118</td><td>145</td></tr><tr><td>May</td><td>150</td><td>160</td></tr><tr><td>June</td><td>138</td><td>128</td></tr><tr><td>July</td><td>138</td><td>150</td></tr><tr><td>August</td><td>122</td><td>125</td></tr><tr><td>September</td><td>135</td><td>140</td></tr><tr><td>October</td><td>140</td><td>142</td></tr><tr><td>November</td><td>132</td><td>132</td></tr><tr><td>December</td><td>152</td><td>155</td></tr><tr><td>January</td><td>160</td><td>160</td></tr><tr><td>February</td><td>132</td><td>132</td></tr><tr><td>March</td><td>165</td><td>165</td></tr></table> Although spend control is having a positive impact and the General Fund forecast has improved since Q1 and compared with the 2024-25 year end position, given where we are in the financial year it is likely that we will end the year with an overspend on the General Fund and the S151 officer is in conversation with Government in terms of the possibility that Exceptional Financial Support (EFS) may be required. This would be in addition to the EFS secured for the HRA for the current year. EFS is temporary financial assistance enabling the management of budget shortfalls so that essential services continue to be delivered, while plans are implemented to return to a sustainable balanced budget position. Whilst the S151 officer is confident that a balanced position can be achieved, measures put in place and reviews underway will take time to feed into the underlying financial position and some support will be required in the meantime. EFS normally allows councils to borrow or use capital receipts to fund day to day services, with conditions. The council would look to fund EFS from a planned programme of asset disposals. Any decisions on asset disposals would be subject to Cabinet approval.	Month	2025-26 (£m)	2024-25 (£m)	Apr	118	145	May	150	160	June	138	128	July	138	150	August	122	125	September	135	140	October	140	142	November	132	132	December	152	155	January	160	160	February	132	132	March	165	165		
Month	2025-26 (£m)	2024-25 (£m)																																										
Apr	118	145																																										
May	150	160																																										
June	138	128																																										
July	138	150																																										
August	122	125																																										
September	135	140																																										
October	140	142																																										
November	132	132																																										
December	152	155																																										
January	160	160																																										
February	132	132																																										
March	165	165																																										

SR2 - 07	Specific spending controls and demand management actions in place across Housing, Children's Services and Adult Social Care to reduce in-year and future years overspends. Actions to include: • Service based panels to review high cost spend areas such as placements. • Commissioning external support to assess the current demand management arrangements and identify further actions that will deliver savings and cost	The impact of service specific spending controls and management action of key overspending budget lines are formally monitored and reported on as part of the quarterly financial performance report to Cabinet. Service based panels are in place across Housing, Adult Social Care and Children's Services, to review and approve spend requests to meet identified need. Value for money considerations are required as part of the panels' decision making. Cabinet agreed in July to secure external support for Temporary Accommodation, as well as Adult Social Care and Children's Services focussing on demand management and data led approaches for prevention and early intervention as part of the Council's Transformation Programme. An independent review of savings incorporated into the Medium-Term Financial Strategy has been undertaken, which included	The Q2 Financial Performance Report (Q2 Financial Performance Report) includes actions to address demand management and reduce overspending. Examples include: <table><tr><th>Action</th><th>Saving £</th></tr><tr><td>Monthly review and challenge of high-cost children's placements.</td><td>1.5m</td></tr><tr><td>Care Package Reviews in Adult Social Care</td><td>2m</td></tr><tr><td>A range of actions to reduce numbers in TA, including: • Changes to out of hours process will be in place by end November • Recruitment underway to bring Statutory Reviews in house to strengthen decision making </td><td>1.m.</td></tr></table>	Action	Saving £	Monthly review and challenge of high-cost children's placements.	1.5m	Care Package Reviews in Adult Social Care	2m	A range of actions to reduce numbers in TA, including: • Changes to out of hours process will be in place by end November • Recruitment underway to bring Statutory Reviews in house to strengthen decision making	1.m.	Corporate Director of Resources On-going to March 2026	In progress
Action	Saving £												
Monthly review and challenge of high-cost children's placements.	1.5m												
Care Package Reviews in Adult Social Care	2m												
A range of actions to reduce numbers in TA, including: • Changes to out of hours process will be in place by end November • Recruitment underway to bring Statutory Reviews in house to strengthen decision making	1.m.												

	reductions including through prevention and early intervention	an assessment of the robustness of plans, deliverability and interdependencies and actions to ensure the savings are delivered or alternative mitigating actions identified. The outcome of the review will be incorporated into the Q3 report to Cabinet and it will be used to inform the final budget setting and MTFS report to Cabinet and Full Council.	• Placement Policy due to be approved 17/11/26 to enable discharge into PRS • Cessation of Duty Team will be recruited to once Statutory Reviews is completed • Proposal to establish a rapid assessment and resettlement hub to replace hotel provision being developed				
			In addition to the management actions being taken, the external support for the demand led services is due to complete during December and the agreed actions will be incorporated into the budget and MTFS and the wider Council Transformation Programme.				

SR3 - 01	Review of General Fund reserves to be undertaken and recommendations implemented as part of the 2024-25 closing of accounts. Actions to include: • Review of departmental reserves • Identification and review of expenditure planned to be funded by reserves in line with non-essential spend controls criteria. • Identification of reserves to be transferred to 'unallocated.' • Reserves to be controlled corporately and only used by exception and with the agreement of the S151 officer.	A review of the Council's General Fund reserves has been completed.	A review of the reserves has been undertaken in light of the ongoing financial pressures the Council is under, and the forecast overspend position in the current financial year. It is the responsibility of the S151 officer to have oversight of reserves and how they are deployed and to ensure they are at a sufficient level. The S151 officer has taken a decision to redeploy departmental reserves and reserves earmarked for capital which are not contractually committed or otherwise legally bound for general purposes. Reserve levels are extremely low and offer little financial resilience. It is therefore imperative that directorates continue to work to bring down the forecast overspend. Given where we are in the financial year it is likely that we will end the financial year with an overspend and that there will be insufficient usable reserves to cover this position, therefore, as mentioned above the S151 officer is in discussion with Government officials regarding the possible requirement for Exceptional Financial Support (EFS) for the current financial year. The Medium Term Financial Strategy reported to Cabinet in July included provision to increase General Fund Balances to 10% of net revenue expenditure (circa £45m) over a three year period to restore financial resilience to the recommended levels.	Corporate Director of Resources / Interim Director of Finance August 2025.	Closed
----------	--	---	---	---	--------

SR4 - 01	Cost assumptions in the current MTFS to be updated to confirm the financial implications on the budget and wider financial position. Actions to include review and update of: • Departmental cost pressures, taking account of management actions. • Debt costs (interest & minimum revenue provision) & rebuild of PFI reserves. • Levies against latest third-party forecasts • Pay award and non-pay inflation assumptions.	The cost assumptions in the MTFS have been reviewed and updated to take account of cost pressures at both service and corporate level (e.g. debt costs) and planned management actions. The funding assumptions have been updated to reflect the Spending Review and Fair Funding Reforms. The MTFS Update report was presented to July Cabinet. We will also be reviewing government funding assumptions based on the policy paper from Government which is expected this month.	The updated MTFS was published and agreed in July 2025 (Medium Term Financial Strategy Update Report 2026-2030.pdf). In summary, compared to the MTFS presented in March, with the latest available information, the budget gap for 2026-27 has increased by £26.6m, to £49.9m. This is driven by estimated increases in expenditure of £46.3m offset by additional income of £19.6m. The table below sets out the revised funding gap for the 2026-27 budget over the remaining MTFS period. The revised funding gap is based on the changes to the budget assumptions since the March Full Council meeting that agreed the 2025-26 budget. This considers new growth pressures, the changes in government funding and Council Tax. These changes taken together result in a funding gap of £84.378m for the council through to 2029-30.	Interim Director of Finance July 2025	In progress
----------	--	---	--	--	-------------

- External funding levels against latest information.

	2025/26	2026/27	2027/28	2028/29	2029/30
MTFS to Cabinet in February 25 and Full Council in March 25	Estimated Budget Gap of £50m (after assuming £99m of savings were delivered)				
Updated MTFS went to Cabinet in July 2025		Estimated Budget Gap of £84m (again after assuming £99m of savings were delivered)			

Since the publication of the revised MTFS, work has accelerated to close the estimated budget gap through the development of savings proposals. The first tranche of proposals are recommended for approval by Cabinet to be implemented as soon as possible, to both mitigate the cost pressures in the current year and contribute to closing the MTFS gap. These proposals will have been considered by the Equality and Justice Panel and the Overview and Scrutiny Committee.

These proposals cover a range of service areas and the level of savings required means that there will be some negative impacts. We will be working to mitigate these where possible, for example, where proposals result in loss of funding to particular groups, we will work with them to seek to identify alternative funding sources. The proposals are listed at Appendix C in the Q2 Financial Performance report (Q2 Financial Performance Report) and summarised below.

Financial Year	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Total £000
Children Families & Education	1,275	870	550	0	2,695
Integrated Health & Adult Social Care	1,788	0	0	0	1,788
Growth & Environment	3,550	0	0	0	3,550
Resources	4,239	0	0	0	4,239
Housing	3,397	6,300	6,300	0	15,997
Totals	14,249	7,170	6,850	0	28,269